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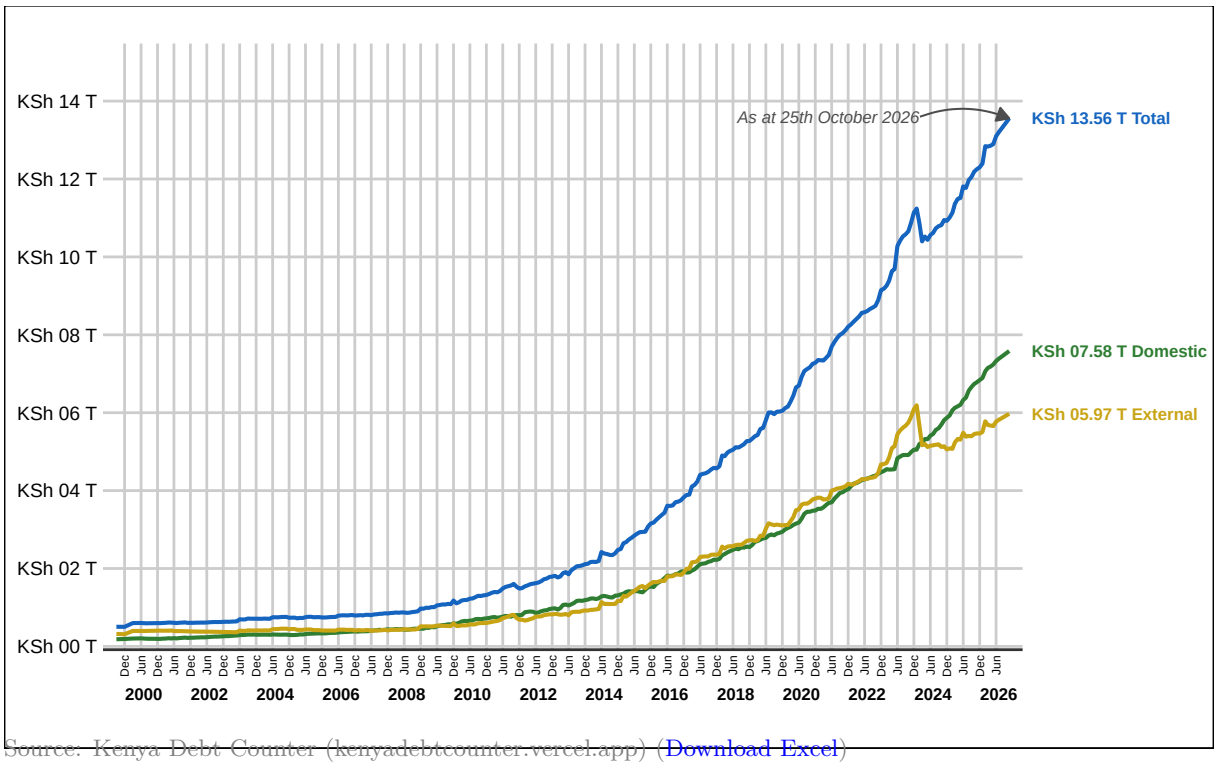
Quarterly Macroeconomic Debt Report

Q3 (July – September 2026)

Published 25 October 2026

Key Metrics at a Glance

Figure 1. Trends in Kenya's Debt (Ksh Trillion)



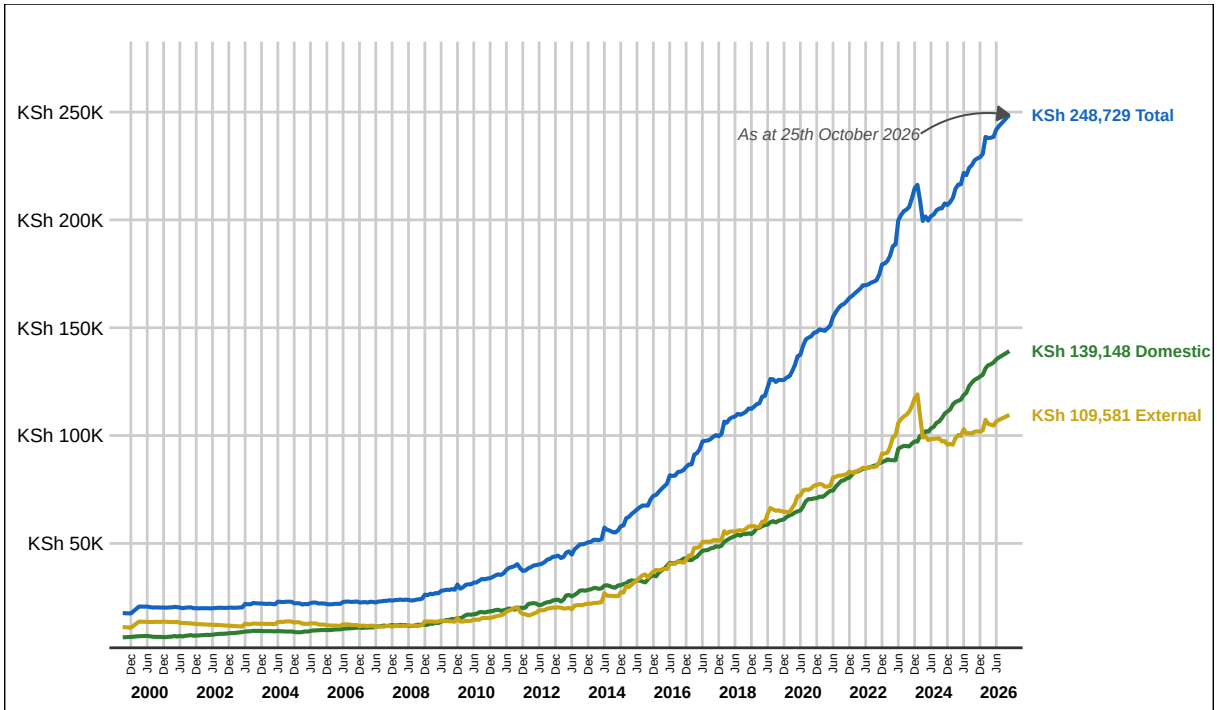
Source: Kenya Debt Counter (kenyadebtcounter.vercel.app) (Download Excel)

As at 25th October 2026, the public debt is estimated at Total debt: **KSh 13.56 trillion**, and is **3.6 times** what it was a decade ago without correcting for inflation. Approximately **KSh 3.11 billion** of new debt stock is added daily. The share composition of debt has evolved as follows:

Table 1: Composition of the public debt stock

Metric	Q2 Jun 2026	Q3 Sep 2026	25th Oct 2026
Domestic	56%	56%	56%
External	44%	44%	44%
Total	**KSh 13.20 T (100%)**	**KSh 13.48 T (100%)**	**KSh 13.56 T (100%)**

Figure 2. Trends in Debt per Capita (KSh)



Source: Kenya Debt Counter (kenyadebtcounter.vercel.app) (Download Excel)

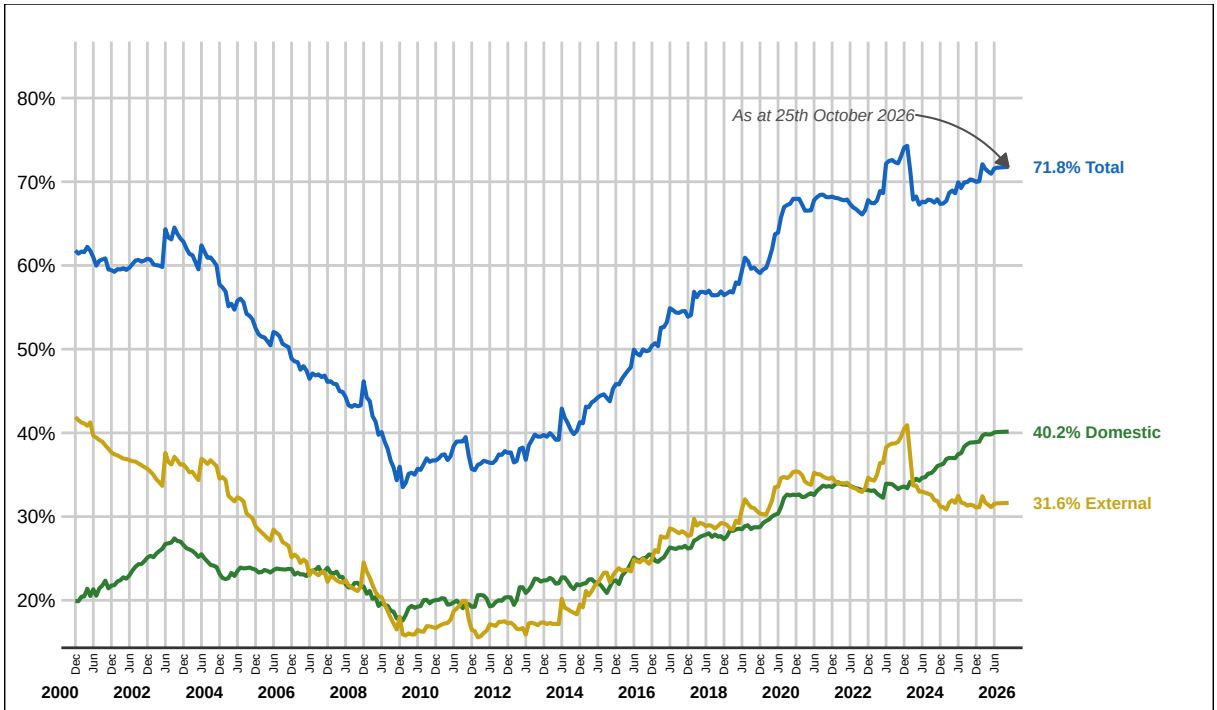
As at 25th October 2026, the public debt is estimated at **KSh 248,729 per person**, and is **3.0 times** what it was a decade ago without correcting for inflation. As per the trend, approximately **KSh 19,827** of new debt is added per person annually. The composition of debt per person has evolved as follows:

Table 2: Public debt per capita, by composition

Metric	Q2 Jun 2026	Q3 Sep 2026	25th Oct 2026
Domestic	KSh 136,172	KSh 138,501	KSh 139,148
External	KSh 107,238	KSh 109,072	KSh 109,581
Total	**KSh 243,410**	**KSh 247,573**	**KSh 248,729**

- **What it means in cash terms.** Clearing the debt stock today would require **KSh 248,729** from every man, woman and child in Kenya – roughly **KSh 994,915** for a household of four. A decade ago the same claim stood at KSh 83,295 a person.
- **The burden is compounding, not static.** Each person's share grows by about **KSh 19,827 a year** – close to **KSh 54 every day**, or **KSh 217 a day for a household of four** – before a single shilling of it is repaid.
- **Policy implication – the mix, not just the total.** Domestic borrowing accounts for **KSh 139,148** of each person's share against **KSh 109,581** external, and added **KSh 12,784** a person over the past year against **KSh 7,638** externally. Domestic debt is the more expensive of the two (see the Debt Sustainability Analysis), so the servicing cost carried by each Kenyan is rising faster than the burden itself – stabilising it depends on the borrowing mix and the primary balance, not on the headline total alone.

Figure 3. Trends in the Public Debt (% of GDP)



Source: Kenya Debt Counter (kenyadebtcounter.vercel.app) (Download Excel)

As at 25th October 2026, the public debt as a share of GDP now stands at **71.8%**, compared with **49.8%** a decade ago – a change of **22.0 percentage points**. The composition of debt relative to GDP has evolved as follows:

Table 3: Public debt as a share of GDP, by composition

Metric	Q2 Jun 2026	Q3 Sep 2026	25th Oct 2026
Domestic	40.1%	40.1%	40.2%
External	31.6%	31.7%	31.6%
Total	**71.7%**	**71.8%**	**71.8%**

- **The ratio is high and still climbing.** At **71.8% of GDP** – roughly **9 months** of national output – up **22.0 percentage points** over the decade. Figure 3 shows a sustained net increase in the debt stock; the sharp decline in early 2024 is on account of the bullet repayment of the Eurobond.
- **Domestic debt is rising faster, and the stock is not the whole claim.** Domestic borrowing equals **40.2% of GDP** against **31.6%** external. Pending bills of **KSh 0.8 trillion** (about 4.2% of GDP) sit outside this ratio – and servicing already costs **KSh 2.3 trillion**, **70.6% of it domestic**, the costlier class.
- **Growth is too slow to outrun the servicing bill.** Real growth of about **4.7%** cannot generate the revenue to cover **KSh 2.3 trillion** of debt service – over the past year debt grew **10.8%** against nominal GDP of **8.3%**. While borrowing outpaces output, servicing absorbs a rising share of revenue and crowds out development spending.

Debt Sustainability Analysis

Figures 1 to 3 describe a debt stock growing in absolute terms, per person, and relative to the economy that must service it – reaching 71.8% of GDP. The National Treasury tests whether that burden remains sustainable through a Debt Sustainability Analysis (DSA); on the 2026 assessment, all four headline indicators have been breached.

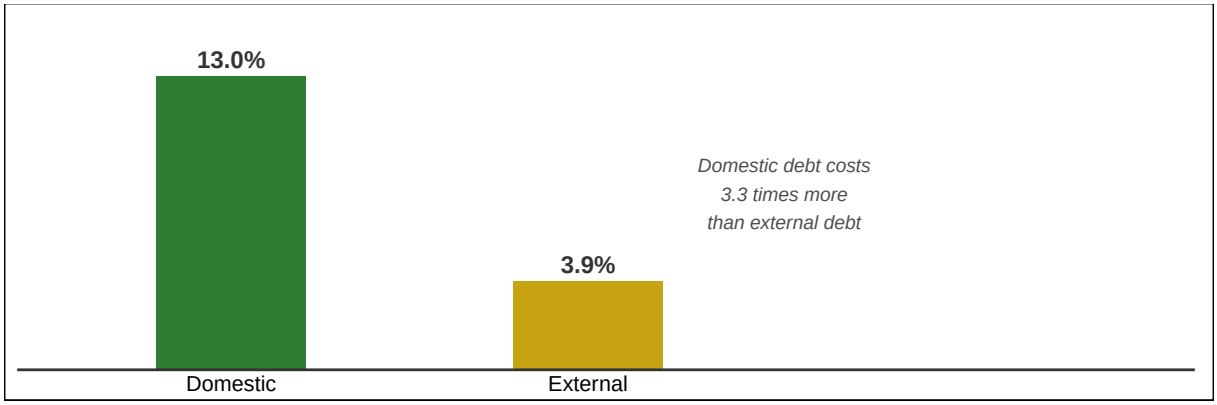
Table 4: Debt sustainability indicators against thresholds, 2026

Indicator	Threshold	Latest Value	Excess	Status
PV of Public Debt / GDP	55%	65.3%	+10.3 pp	Breached
PV of External Debt / Exports	180%	182.2%	+2.2 pp	Breached
External Debt Service / Exports	15%	22.5%	+7.5 pp	Breached
External Debt Service / Revenue	18%	20.6%	+2.6 pp	Breached

Source: National Treasury, Medium Term Debt Strategy (MTDS), 2026.

- The present value of public debt stands at **65.3% of GDP** against a **55%** benchmark – an overshoot of **10.3 percentage points**.
- All three external indicators are also breached, with **External Debt Service / Exports** furthest beyond its limit at **22.5%** against **15%**.
- Every breached measure except the first is assessed against exports or revenue rather than GDP, so the strain falls directly on the government's *capacity to pay*, not merely on the size of the stock.

Figure 4. The Cost of Domestic versus External Debt



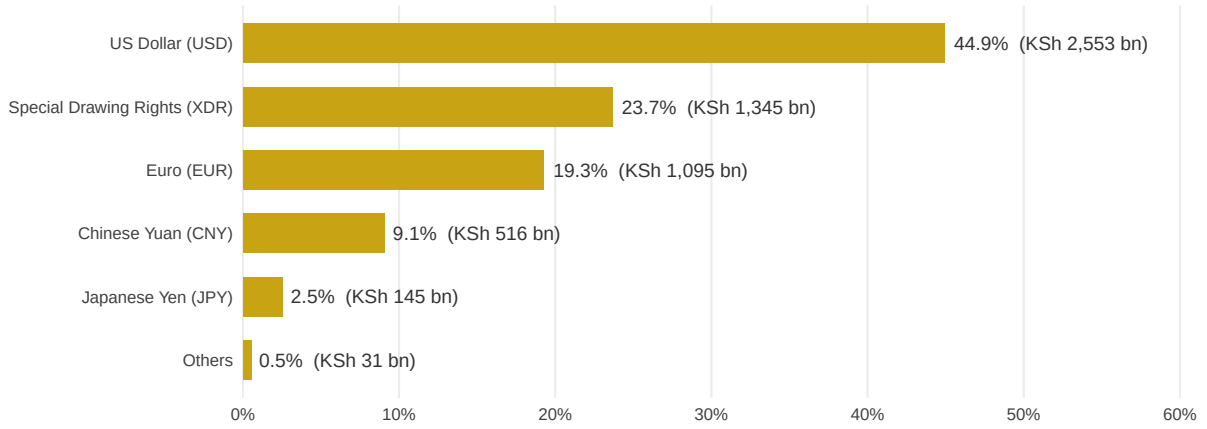
Source: National Treasury, MTDS 2026. Weighted average interest rate by debt class.

- **The cause is composition.** Domestic borrowing carries a weighted average interest rate of **13.0%** against **3.9%** on external debt, so each shilling shifted from external to domestic financing costs roughly **3.3 times** as much to carry.
- **The consequence is the repayment burden.** Domestic debt is **55.9%** of the stock at the close of Q3 Sep 2026 but absorbs **70.6%** of the KSh 2.3 trillion debt service budget – a gap of **14.7 percentage points** between what is owed and what must be paid this year. External debt is the mirror image, at **44.1%** of the stock but **29.4%** of repayments.
- **Direction matters more than level.** A stock growing at the pace of Figure 1, increasingly financed domestically at 13.0%, lifts the servicing bill faster than the stock itself – which is why the debt service indicators are breached alongside the debt-to-GDP ratio. The MTDS projects the ratio will stay above benchmark until at least **2029**.

What the Debt Is Made Of

Figures in this part are drawn from the live data behind the Explore page of the Kenya Debt Counter, kenyadebtcounter.vercel.app/explore, where each chart can be explored and downloaded.

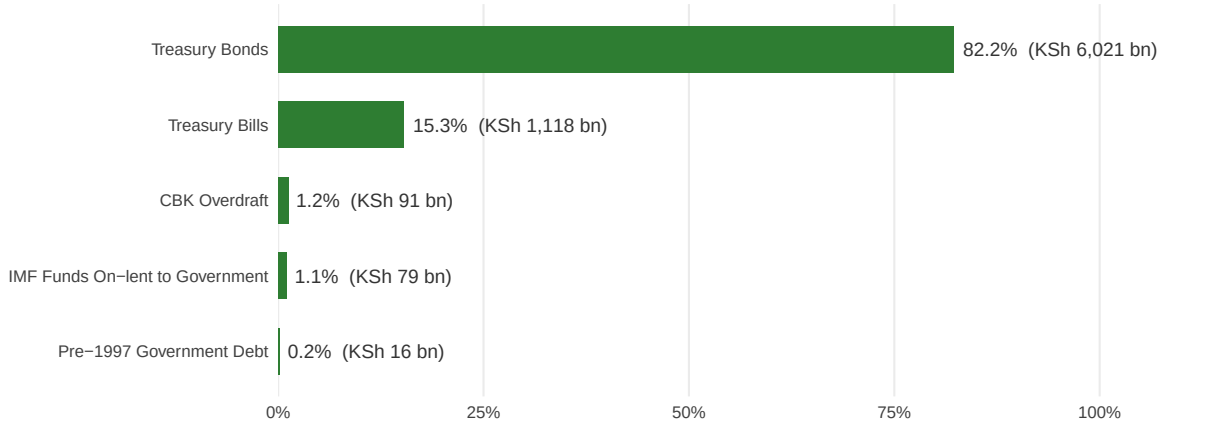
Figure 5. External Debt by Currency, 30 June 2026



Source: National Treasury, via the Controller of Budget's full-year Budget Implementation Review Report.

At 30 June 2026, external public debt stood at **KSh 5.68 trillion**. **US Dollar (USD)** accounts for **44.9%**, followed by Special Drawing Rights (XDR) at 23.7%. Because this debt is owed in foreign currency, every 1% fall in the shilling adds about **KSh 57 billion** to it in shillings, without any new borrowing.

Figure 6. Domestic Debt by Instrument, 30 June 2026

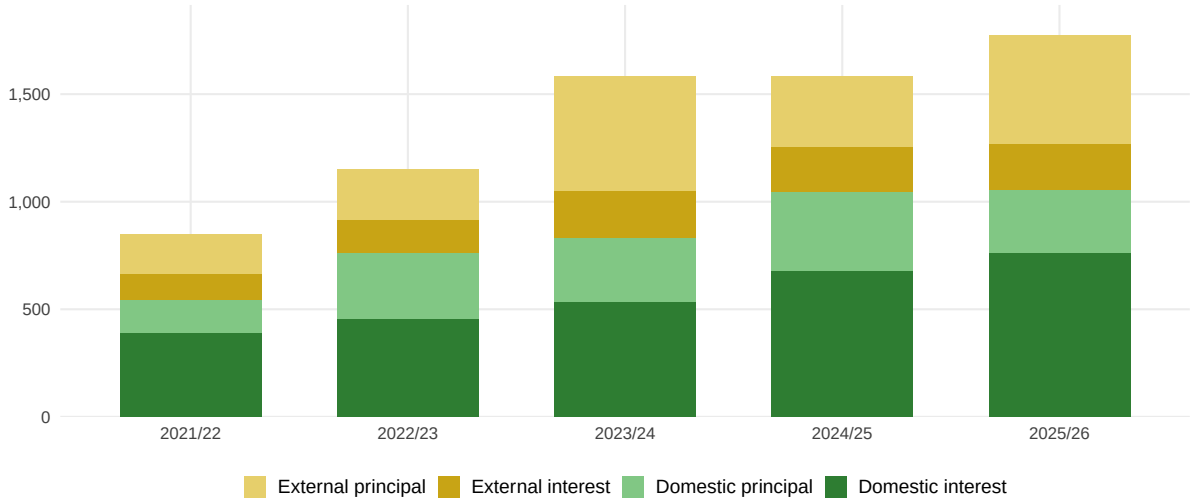


Source: National Treasury, via the Controller of Budget's Budget Implementation Review Reports.

Domestic public debt stood at **KSh 7.32 trillion** at 30 June 2026. That is KSh 186 billion more than at 31 March 2026. Treasury bonds make up **82.2%**, locking in today's interest rates for years. Treasury bills, which must be rolled over within a year, make up **15.3%**.

What the Debt Costs

Figure 7. Public Debt Service by Fiscal Year (KSh Billion)



Source: Controller of Budget, full-year National Government Budget Implementation Review Reports.

In FY 2025/26 the government paid **KSh 1.77 trillion** to service the public debt, KSh 971 billion on interest (12.0% more than in FY 2024/25). That is **68.5%** of the year's revenue: KSh 68 of every KSh 100 collected. Domestic debt took **59.6%** of the total.

Table 5: Kenya's debt indicators against their limits, latest figures (live)

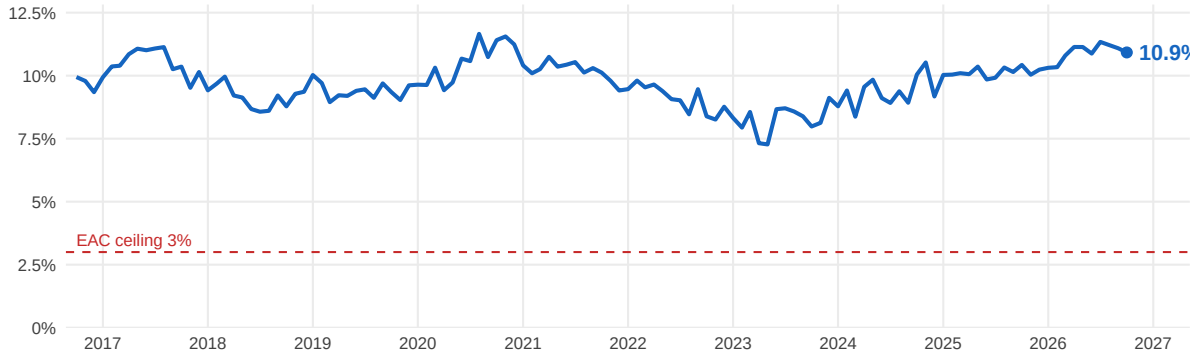
Indicator	Limit	Latest	Year	Basis	Status
Public debt / GDP	55%	63.7%	2024/25	PV	Above
External debt / GDP	40%	32.1%	2023	PV	Below
External debt / exports	180%	275%	2023	PV	Above
External debt service / exports	15%	26.6%	2025/26	Face	Above
External debt service / revenue	18%	22.6%	2025/26	Face	Above
Budget deficit / GDP	3%	7.3%	2025/26	Face	Above

PV = present value, the basis the limits are set on; Face = face value. Limits: IMF–World Bank Debt Sustainability Framework thresholds for a medium debt-carrying capacity country; Public Finance Management Act anchor (55% of GDP, present value); East African Community convergence ceiling (deficit). Source: CBK, Controller of Budget, KNBS, National Treasury (present-value ratios); kenyadebtcounter.vercel.app.

On the latest figures Kenya is above the limit on **5 of 6** indicators: Public debt / GDP; External debt / exports; External debt service / exports; External debt service / revenue; Budget deficit / GDP. The table above updates with the live data each day, whereas Table 4 reports the Treasury's own 2026 assessment.

How the Debt Fits in the Budget

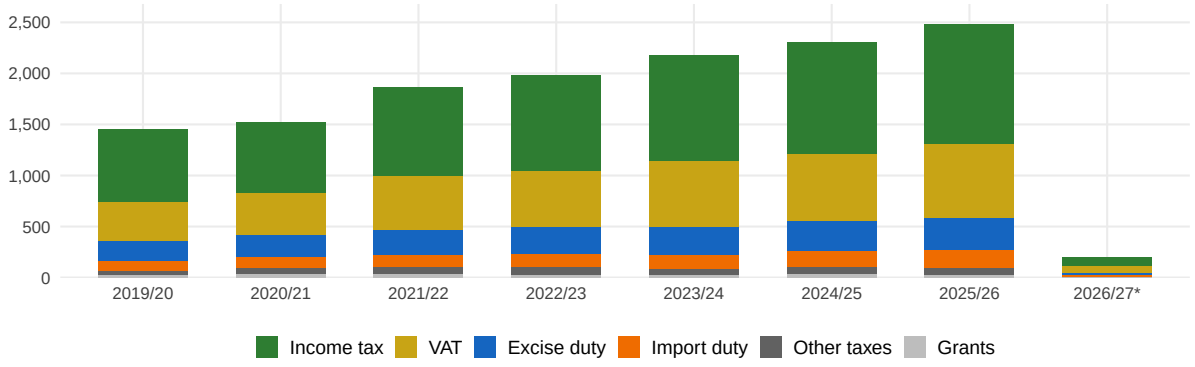
Figure 8. Budget Deficit over the Previous 12 Months (% of GDP)



Source: Central Bank of Kenya, government finance statistics; KNBS GDP.

Over the 12 months to October 2026 the government spent **KSh 2.06 trillion** more than it collected in revenue and grants, **10.9% of GDP** (CBK's latest months estimated), above the East African Community's 3% ceiling. The budget for FY 2026/27 targets 5.5%. Interest alone was KSh 1.12 trillion over the same months.

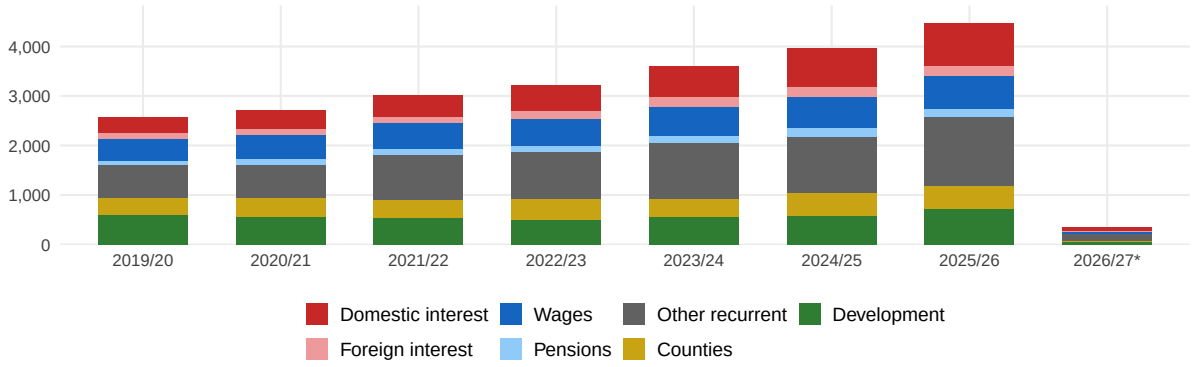
Figure 9. Tax Revenue and Grants by Fiscal Year (KSh Billion)



Source: Central Bank of Kenya, government finance statistics. * Year to date.

In FY 2025/26 tax revenue came to **KSh 2.46 trillion**, **13.9% of GDP**, 8.3% more than in FY 2024/25. Income tax is the largest tax, at 47.8% of the total; grants added KSh 21 billion.

Figure 10. Government Spending by Type (KSh Billion)



Source: Central Bank of Kenya, government finance statistics. * Year to date.

Interest on the public debt took **24.0%** of government spending in FY 2025/26 (**KSh 1.07 trillion**), more than development spending (KSh 726 billion) and more than wages (KSh 668

billion). In FY 2016/17 it was 12.3%.

Data Sources

This report draws on publicly available data published by:

- **Central Bank of Kenya (CBK)** — monthly and quarterly public debt statistics, exchange rates
- **The National Treasury** — budget execution reports, fiscal outturns, cost of debt
- **Office of the Controller of Budget (OCOB)** — National Government Budget Implementation Review Reports: debt service, external debt by currency, domestic debt by instrument
- **Kenya National Bureau of Statistics (KNBS)** — GDP, national accounts, population estimates

Data is ingested via Google Sheets and the Kenya Debt Counter's public API (kenyadebtcounter.vercel.app), processed in R, and rendered using Quarto with XeLaTeX. The report is regenerated automatically through GitHub Actions whenever the underlying data or analysis is updated.

Definitions:

- *Domestic debt* — Treasury bills, Treasury bonds, and overdraft at the Central Bank
- *External debt* — bilateral, multilateral, and commercial external obligations
- *Debt-to-GDP* — total public debt as a percentage of nominal GDP
- *Debt per capita* — total public debt divided by estimated population